

Alphabet Inc.

NASDAQ: GOOGL / GOOG | Communication Services — Internet & AI | 30 June 2026

BUY | Target Price: \$390 | CMP: \$357 (30-Jun-2026) | Upside: +9%

Investment Summary

Alphabet had a landmark FY2025: revenues crossed \$400 billion for the first time, up 15% to \$402.8 billion, with net income of \$132.2 billion (EPS \$10.81) and operating margin near 32%. The growth engines re-accelerated — Google Cloud revenue rose 48% to a \$70bn+ annual run-rate, YouTube ads-plus-subscriptions passed \$60 billion, and the launch of Gemini 3 (750m+ monthly active users) puts Alphabet at the front of the enterprise-AI race rather than as its rumoured casualty.

The old bear case — that AI would erode Search — is being answered by the numbers: Search is still growing double digits while Alphabet monetises AI across Cloud, Workspace and its first-party models. The debate now is price and capex, not relevance.

At \$357 the stock trades at roughly 27x trailing earnings — a market multiple, and below Apple (~34x) and Amazon (~28x) — for the fastest-growing, most AI-advantaged of the mega-caps. We see fair value nearer \$390 (~29x FY2026E EPS), a modest premium the quality and momentum earn. We rate it BUY.

Snapshot

Metric	Value	Note
Market cap	~\$4.3 trillion	≈12.2bn shares
FY2025 revenue	\$402.8bn (+15%)	First year above \$400bn
FY2025 net income / EPS	\$132.2bn / \$10.81	Cloud +48%, op margin ~32%
Valuation	~27x P/E (fwd ~27x)	vs MSFT 22x, Meta 20x, AMZN 28x, AAPL 34x
2026 capex guide	\$175–185bn	The key watch-item

FY2025 Results Review

Revenue of \$402.8bn (+15%) was led by a re-acceleration in both Google Services (+14%) and Google Cloud (+48%). Operating income rose 16% to \$129.0bn (32% margin), even after a \$2.1bn Waymo-related compensation charge. Net income of \$132.2bn (+32%) was flattered by large mark-to-market gains on equity securities in other income — a reminder that OI&E adds volatility. Free cash flow was \$73.3bn despite a step-change in AI infrastructure spend, and Alphabet guided 2026 capex to a striking \$175–185bn.

Valuation

We anchor on forward earnings, cross-checked against peers. At ~27x forward, Alphabet sits mid-pack among the mega-caps (MSFT ~22x, Meta ~20x, Amazon ~28x, Apple ~34x) — inexpensive for a 15% grower with the strongest cloud and AI trajectory in the group. Applying ~29x to an estimated FY2026 EPS near \$13.5 supports a fair value of about \$390, ~9% above the current price.

The swing factor is capex discipline: \$175–185bn of 2026 investment is a bet that AI demand converts to Cloud revenue and ad efficiency. If it does, the multiple re-rates; if returns disappoint, the premium compresses. The full model detail sits in the accompanying workbook; the figures here are illustrative.

Key Risks

- AI capex (\$175–185bn in 2026) pressuring free cash flow if monetisation lags.
- Search disruption risk from AI-native interfaces over the long run.
- Regulatory / antitrust actions across the US and EU on Search and ad-tech.
- OI&E volatility from equity-security marks distorting headline earnings.
- Cloud competition from Microsoft and Amazon.

Company Overview

Alphabet is the parent of Google, operating the world's dominant search and digital-advertising franchise (Search, YouTube, Network), the fast-growing Google Cloud platform, the Android and Chrome ecosystems, and long-horizon 'Other Bets' including Waymo. It is among the best-capitalised companies on earth and a front-runner in frontier AI through its Gemini models and TPU infrastructure.

Disclaimer

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